

Expenses ↴

720 Other Expenses

720 Other Expenses

10 Overall

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

720-10-05-1 The Other Expenses Topic includes the following Subtopics:

- a. Overall
- b. Start-Up Costs
- c. Insurance Costs
- d. Contributions Made
- e. Real and Personal Property Taxes
- f. Advertising Costs
- g. Electronic Equipment Waste Obligations
- h. Business and Technology Reengineering.

720-10-05-2 Each Subtopic in the Other Expenses Topic contains standalone guidance; there is no relationship between the individual Subtopics within this Topic. Each Subtopic provides accounting and reporting guidance for the specific type of costs and expenses as indicated by the Subtopic title.

720 Other Expenses

15 Start-Up Costs

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

720-15-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
	Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
	720-15-15-1	Amended	Accounting Standards Update No. 2014-10	06/10/2014
	720-15-15-4	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	720-15-55-7	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

720-15-05-1 This Subtopic provides guidance on the financial reporting of start-up and organization costs. This Subtopic defines [start-up activities](#) and provides Examples to help entities determine which costs fall within the scope and outside the scope of this Subtopic.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

 [Related Proposed ASUs](#)

> Entities

- 720-15-15-1** The guidance in this Subtopic applies to all nongovernmental entities, including not-for-profit entities (NFPs).
- a. [Subparagraph superseded by Accounting Standards Update No. 2014-10.](#)
 - b. [Subparagraph superseded by Accounting Standards Update No. 2014-10.](#)
 - c. [Subparagraph superseded by Accounting Standards Update No. 2014-10.](#)

> Transactions

- 720-15-15-2** The guidance in this Subtopic applies to [start-up activities](#). The definition of start-up activities is based on the nature of the activities and not the time period in which they occur. Start-up activities include activities related to organizing a new entity (commonly referred to as organization costs).
- 720-15-15-3** Various terms are used to refer to start-up costs, such as preopening costs, preoperating costs, and organization costs. For purposes of this Subtopic, these costs are referred to as start-up costs.
- 720-15-15-4** Certain costs that may be incurred in conjunction with start-up activities are outside the scope of this Subtopic. Such costs should be accounted for in accordance with other existing authoritative accounting literature. The guidance in this Subtopic does not apply to the following transactions and activities:
- a. Ongoing customer acquisition costs, such as policy acquisition costs (see Subtopic [944-30](#))
 - b. Loan origination costs (see Subtopic [310-20](#))
 - c. Activities related to routine, ongoing efforts to refine, enrich, or otherwise improve upon the qualities of an existing product, service, process, or facility
 - d. Activities related to mergers or acquisitions
 - e. Business process reengineering and information technology transformation costs addressed in Subtopic [720-45](#)
 - f. Costs of acquiring or constructing long-lived assets and getting them ready for their intended uses (however, the costs of using long-lived assets that are allocated to start-up activities [for example, depreciation of computers] are within the scope of this Subtopic)
 - g. Costs of acquiring or producing inventory
 - h. Costs of acquiring intangible assets (however, the costs of using intangible assets that are allocated to start-up activities [for example, amortization of a purchased patent] are within the

scope of this Subtopic)

i. Costs related to internally developed assets (for example, internal-use computer software costs) (however, the costs of using those assets that are allocated to start-up activities are within the scope of this Subtopic)

j. Research and development costs that are within the scope of Section [730-10-15](#)

k. Regulatory costs that are within the scope of Section [980-10-15](#)

l. Costs of fundraising incurred by NFPs

m. Costs of raising capital

n. Costs of advertising

o. Learning or start-up costs incurred in connection with existing [contracts](#) with [customers](#) and in anticipation of follow-on or future contracts for the same goods or services (see Subtopic [340-40](#) on other assets and deferred costs).

p. Costs incurred in connection with acquiring a contract with a customer (see Subtopic [340-40](#)).

720-15-15-5

Section [720-15-55](#) provides Examples of costs that are within the scope and outside the scope of this Subtopic.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

Start-up Activities

Defined broadly as those one-time activities related to any of the following:

- a. Opening a new facility
- b. Introducing a new product or service
- c. Conducting business in a new territory
- d. Conducting business with an entirely new class of customers (for example, a manufacturer who does all of its business with retailers attempts to sell merchandise directly to the public) or beneficiary
- e. Initiating a new process in an existing facility
- f. Commencing some new operation.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

720-15-25-1 Costs of [start-up activities](#), including organization costs, shall be expensed as incurred.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

· > Accounting for Costs Not Within the Scope of this Subtopic

- 720-15-55-1** Accounting for certain costs incurred in conjunction with [start-up activities](#) are not covered by this Subtopic. An entity should not conclude that costs outside the scope of this Subtopic are to be capitalized. Such costs shall be capitalized if they qualify for capitalization under other generally accepted accounting principles (GAAP).

> Illustrations

· > Example 1: Costs Incurred to Construct Overseas Plant—Initial Entry into Market

- 720-15-55-2** This Example illustrates application of the guidance in Section [720-15-15](#).

- 720-15-55-3** A major U.S. beverage entity begins construction of a new plant in China. This represents the entity's initial entry into the Chinese market. As part of the overall strategy, the entity plans to introduce into China, on a locally produced basis, its major U.S. beverage brands. The following costs that might be incurred in conjunction with start-up activities are subject to the provisions of this Subtopic:
- a. Travel costs, employee salary-related costs, and consulting costs related to feasibility studies, accounting, legal, tax, and governmental affairs
 - b. Training of local employees related to production, maintenance, computer systems, engineering, finance, and operations
 - c. Recruiting, organization, and training related to establishing a distribution network
 - d. Nonrecurring operating losses
 - e. Depreciation, if any, of new computer data terminals and other communication devices.

- 720-15-55-4** The following costs that might be incurred in conjunction with start-up activities are outside the scope of this Subtopic:
- a. Costs of long-lived asset additions, such as the new plant, production equipment, and packaging lines
 - b. Internal-use computer software systems development costs
 - c. Costs that are capitalizable as inventory
 - d. Deferred financing costs.

· > Example 2: Costs Incurred to Construct New Stores—One in New Territory

- 720-15-55-5** This Example illustrates application of the guidance in Section [720-15-15](#).

- 720-15-55-6** A retail chain is constructing and opening two new stores. One will open in a territory in which the entity already has three stores operating. The other will open in a territory new to the entity. (Costs related to both openings are treated the same for purposes of this Subtopic.) All of the stores provide the same products and services. The following costs that might be incurred in conjunction with start-up activities are subject to the provisions of this Subtopic:
- a. Salary-related expenses for new employees
 - b. Salary-related expenses for the management store opening team
 - c. Training costs and meals for newly hired employees
 - d. Hotel charges, meals, and transportation for the opening team
 - e. Security, property taxes, insurance, and utilities costs incurred after construction is completed
 - f. Depreciation, if any, of new computer data terminals and other communication devices
 - g. Nonrecurring operating losses.

- 720-15-55-7** The following costs that might be incurred in conjunction with start-up activities are outside the scope of this Subtopic:
- a. Store advertising costs
 - b. Coupon giveaways within the scope of Topic [606](#) on [revenue](#) from [contracts](#) with [customers](#) (see paragraphs [606-10-32-25 through 32-27](#) for guidance on consideration payable to a customer)
 - c. Costs of uniforms
 - d. Costs of furniture and cash registers
 - e. Costs to obtain licenses, if any
 - f. Security, property taxes, insurance, and utilities costs related to construction activities
 - g. Deferred financing costs (see Subtopic [835-30](#)).

· > **Example 3: Costs Incurred by Not-for-Profit to Open Homeless Shelter**

- 720-15-55-8** This Example illustrates application of the guidance in Section [720-15-15](#).

- 720-15-55-9** A not-for-profit entity (NFP) that provides meals to the homeless is opening a shelter to house the homeless. The entity will rent the facility. This will be its first shelter and it will conduct a fundraising campaign to raise money to start up the shelter. The entity will lease space for the shelter and will incur capital expenditures for leasehold improvements and furniture. The entity expects that it will require three months to set up the space for the shelter. The entity will hire a security firm to secure the premises during the three-month period in which the shelter is built. The following costs that might be incurred in conjunction with start-up activities are subject to the provisions of this Subtopic:
- a. Employee salary-related costs related to needs and feasibility studies
 - b. Staff recruiting and training
 - c. Rent, security, insurance, and utilities
 - d. Consultant fees for developing policies and procedures for operating the shelter
 - e. Amortization and depreciation, if any, of leasehold improvements and furniture
 - f. Costs of social workers.

- 720-15-55-10** The following costs that might be incurred in conjunction with start-up activities are outside the scope of this Subtopic (see Subtopic [958-720](#)):
- a. Costs of fund-raising
 - b. Costs of leasehold improvements and furniture
 - c. Architect fees for the leasehold improvements
 - d. Advertising costs to publicize the shelter.

720 Other Expenses

20 Insurance Costs

00 Status

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General

720-20-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Reinsurance	Added	Accounting Standards Update No. 2016-19	12/14/2016
	720-20-05-3	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	720-20-05-5	Amended	Maintenance Update 2020-18 	11/25/2020
	720-20-15-6	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	720-20-15-8	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	720-20-25-1	Amended	Accounting Standards Update No. 2016-19	12/14/2016
	720-20-30-2	Amended	Maintenance Update 2020-18 	11/25/2020

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

 [Related Proposed ASUs](#)

- 720-20-05-1

This Subtopic provides guidance on three types of insurance contracts. The guidance for each is presented in the following Subsections:

 - a. Retroactive contracts
 - b. Claims-made contracts
 - c. Multiple-year retrospectively rated contracts.
- 720-20-05-2

In addition, guidance on deposit accounting resulting from contracts that do not transfer insurance risk is contained in the General Subsections of this Subtopic and in Subtopic [340-30](#). Operations in

certain industries may be subject to such high risks that insurance is unavailable or is available only at what is considered to be a prohibitively high cost. Some entities in those industries have pooled their risks by forming mutual insurance entities in which they retain an equity interest and to which they pay insurance premiums. For example, some electric utility entities have formed such a mutual insurance entity to insure risks related to nuclear power plants, and some oil entities have formed an entity to insure against risks associated with petroleum exploration and production. Whether the premium paid represents a payment for the transfer of risk or whether it represents merely a deposit will depend on the circumstances surrounding each entity's interest in and insurance arrangement with the mutual insurance entity. An analysis of the contract is required to determine whether risk has been transferred and to what extent.

Retroactive Contracts

 [Related Proposed ASUs](#)

720-20-05-3 The Retroactive Contracts Subsections provide guidance on how an insured entity, including an insurance entity purchasing insurance unrelated to its core insurance operations (for example, manufacturers, retailers, service entities, and financial institutions), should account for a purchased retroactive insurance policy and whether the transaction results in gain recognition (excluding [reinsurance](#) transactions). For example, an entity records a liability of \$100 million incurred as a result of a past event in accordance with Subtopic [450-20](#). The entity then buys an insurance policy for \$60 million to cover that liability.

Claims-Made Contracts

 [Related Proposed ASUs](#)

720-20-05-4 Many entities use claims-made policies to satisfy their insurance needs for such coverage as product, directors and officers, and malpractice liabilities. However, entities have been purchasing coverage for a variety of other exposures using a claims-made format. Under a claims-made insurance policy, an entity is insured for any claims reported during the term of the policy, in many cases including those that occurred prior to the policy effective date but after the specified retroactive date.

720-20-05-5 Generally, entities purchasing a claims-made policy will renew the policy each year. The amount of coverage purchased may change over time to meet current needs (for example, changing risk within the entity) or to respond to the overall environment (for example, the expected settlement costs of the same claim today may cost more than in prior years). When operations cease, the entity generally purchases [tail coverage](#) to insure itself against any previously unasserted claims.

720-20-05-6 Presuming the entity can renew the claims-made policy each year and can obtain tail coverage when desired, such a strategy effectively converts the claims-made policy into an occurrence-based policy covering the entity for any claims made against it.

720-20-05-7 Entities generally use claims-made coverage because it is the only form of insurance available for certain exposures, particularly exposures for which the occurrence dates may be difficult to determine or for which the occurrence may span a long period of time. Therefore, a claims-made policy mitigates potential coverage disputes because the occurrence date generally is not relevant to the determination of coverage.

720-20-05-8 Also, there may be reduced insurance costs in the first several years of a claims-made policy as compared to an occurrence-based policy. Many entities that purchase claims-made insurance policies have no knowledge of unasserted outstanding claims or, because their liabilities have not met the recognition criteria contained in paragraph [450-20-25-2](#) or in other applicable U.S. generally accepted accounting principles (GAAP), have no recognized liability for claims, including [incurred but not reported](#) claims. In other situations, however, entities that purchase claims-made insurance policies are aware of potential claims based on a specific incident or incidents or historical experience. In those

situations, unasserted claims can be either specifically excluded from or specifically included in the coverage.

Multiple-Year Retrospectively Rated Contracts

 [Related Proposed ASUs](#)

720-20-05-9 An entity (for example, a manufacturer, a retailer, a service entity, or a financial entity) may enter into a multiple-year retrospectively rated contract with an insurance entity. These contracts may cover various types of exposures such as product and environmental liability risks. A critical feature of these contracts is that part or all of the retrospective rating provision is obligatory such that the retrospective rating provision creates for each party to the contract future rights and obligations as a result of past events.

720-20-05-10 Such contracts include a retrospective rating provision that provides for any of the following based on contract experience:

- a. Changes in the amount or timing of future contractual cash flows, including premium adjustments, settlement adjustments, or refunds to the noninsurance entity
- b. Changes in the contract's future coverage.

15 Scope and Scope Exceptions

 **General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

 [Related Proposed ASUs](#)

> Overall Guidance

720-20-15-1 The General Subsection of this Section establishes the pervasive scope for this Subtopic, with specific exceptions noted in the other Subsections of this Section.

> Entities

720-20-15-2 The guidance in this Subtopic applies to all entities.

Retroactive Contracts

 [Related Proposed ASUs](#)

> Overall Guidance

- 720-20-15-3** The Retroactive Contracts Subsections follow the same Scope and Scope Exceptions as outlined in the General Subsection of this Subtopic, see paragraph [720-20-15-1](#), with specific entity and transaction qualifications noted below.

> Entities

- 720-20-15-4** The guidance in the Retroactive Contracts Subsections applies to all entities that enter into retroactive insurance contracts.

> Transactions

- 720-20-15-5** The guidance in the Retroactive Contracts Subsections applies to the following transactions and activities:
- a. Those that meet the indemnification against loss or liability conditions of Section [720-20-25-1](#)
 - b. Those that provide indemnification against loss or liability relating to liabilities that have been incurred as a result of a past event, for example, environmental remediation liabilities (see Subtopic [410-30](#)).

- 720-20-15-6** The guidance in the Retroactive Contracts Subsections does not apply to the following transactions and activities:
- a. Those that legally extinguish the entity's liability
 - b. [Reinsurance](#) transactions (see Subtopic [944-20](#) for guidance on the accounting by insurance entities for reinsurance contracts).

Claims-Made Contracts

 [Related Proposed ASUs](#)

> Overall Guidance

- 720-20-15-7** The Claims-Made Contracts Subsections follow the same Scope and Scope Exceptions as outlined in the General Subsection of this Subtopic, see paragraph [720-20-15-1](#), with specific transaction exceptions noted below.

> Transactions

- 720-20-15-8** The guidance in the Claims-Made Contracts Subsections does not apply to [reinsurance](#) transactions (see the Reinsurance Subsections of Topic [944](#) for guidance on the accounting by insurance entities for reinsurance contracts).

Multiple-Year Retrospectively Rated Contracts

 [Related Proposed ASUs](#)

> Overall Guidance

- 720-20-15-9** The Multiple-Year Retrospectively Rated Contracts Subsections follow the same Scope and Scope Exceptions as outlined in the General Subsection of this Subtopic, see paragraph [720-20-15-1](#), with specific transaction exceptions noted below.

> Transactions

- 720-20-15-10** The guidance in the Multiple-Year Retrospectively Rated Contracts Subsections does not apply to the following transactions and activities:
- A retrospectively rated insurance contract that is not a multiple-year contract or that could be cancelled by either party without further obligation.

20 Glossary

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Incurred but Not Reported

Losses incurred by the insured entity that have not yet been reported to the insurance entity.

Reinsurance

A transaction in which a reinsurer (assuming entity), for a consideration (premium), assumes all or part of a risk undertaken originally by another insurer (ceding entity). For indemnity reinsurance, the legal rights of the insured are not affected by the reinsurance transaction and the insurance entity issuing the insurance contract remains liable to the insured for payment of policy benefits. Assumption or novation reinsurance contracts that are legal replacements of one insurer by another extinguish the ceding entity's liability to the policyholder.

Tail Coverage

Insurance designed to cover malpractice claims incurred before, but reported after, cancellation or expiration of a claims-made insurance policy.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

[Related Proposed ASUs](#)

- 720-20-25-1** To the extent that an insurance contract or [reinsurance](#) contract does not, despite its form, provide for indemnification of the insured or the ceding entity by the insurer or reinsurer against loss or liability, the premium paid less the amount of the premium to be retained by the insurer or reinsurer shall be accounted for as a deposit by the insured or the ceding entity. Those contracts may be structured in various ways, but if, regardless of form, their substance is that all or part of the premium paid by the insured or the ceding entity is a deposit, it shall be accounted for as such.
- 720-20-25-2** See Subtopic [340-30](#) for guidance on deposit accounting. In addition, the preceding paragraph requires that an entity determine whether insurance risk has been transferred through an insurance contract; entities may find the conditions in Section [944-20-15](#) useful in assessing whether an insurance contract transfers risk.

Retroactive Contracts

[Related Proposed ASUs](#)

> Purchase of a Retroactive Insurance Policy

- 720-20-25-3** Notwithstanding that Topic [944](#) applies only to insurance entities, purchased retroactive insurance contracts that indemnify the insured shall be accounted for in a manner similar to the manner in which retroactive reinsurance contracts are accounted for under Subtopic [944-605](#). The guidance in that Subtopic shall be applied, as appropriate, based on the facts and circumstances of the particular transaction. That is, amounts paid for retroactive insurance shall be expensed immediately. Simultaneously, a receivable shall be established for the expected recoveries related to the underlying insured event.
- 720-20-25-4** If the receivable established exceeds the amounts paid for the insurance, the resulting gain is deferred. Immediate gain recognition and liability derecognition are not appropriate because the liability has not been extinguished (the entity is not entirely relieved of its obligation). Additionally, the liability incurred as a result of a past insurable event and amounts receivable under the insurance contract do not meet the criteria for offsetting under paragraph [210-20-45-1](#).
- 720-20-25-5** If the purchased insurance contract includes coverage for legal and other costs, the accounting for those costs shall be consistent between the asset and the liability. That is, if the entity's accounting policy is to accrue legal and other costs, then the insurance receivable shall reflect those costs if they are covered under the terms of the insurance policy. If an entity's accounting policy is not to accrue for those costs, then the insurance receivable shall not reflect those costs on an accrual basis.

Claims-Made Contracts

[Related Proposed ASUs](#)

> Claims-Made Insurance Policies That Represent Purchased Retroactive Insurance Contracts

- 720-20-25-6** A claims-made insurance policy contains a retroactive provision if it provides coverage for specific known claims that were reportable prior to the policy period. Regardless of whether the insured has recognized a loss contingency for those claims, specific known claims that were reportable (by the insured entity to the insurance entity) would encompass:
- Asserted claims
 - Known unasserted claims
 - Any known previous event or circumstance that might result in a specific claim (whether asserted or unasserted).
- Such claims include those that were not reported by the insured to the insurance entity, but would have been reportable to the insurance entity had a claims-made policy been in place in a prior period.
- 720-20-25-7** If a claims-made insurance policy contains a retroactive provision, the retroactive and prospective provisions of the policy shall be accounted for separately, if practicable.
- 720-20-25-8** If it is not practicable to separate the retroactive and prospective provisions, the claims-made insurance policy shall be accounted for entirely as a retroactive contract in accordance with Subtopic [944-605](#). A claims-made insurance policy that contains no retroactive provisions should be accounted for on a prospective basis as described in the [Claims-Made Contracts Subsection](#) of Section 720-20-35 and in Examples 4-5 (see paragraphs [720-20-55-13 through 55-20](#)).
- 720-20-25-9** Paragraph [944-20-15-34B](#) states that in claims-made insurance, the insured event is the reporting to the insurer, within the period specified by the policy, of a claim for a loss covered by the insurance contract. Accordingly, a prospective claims-made insurance policy only covers claims for losses reportable to the insurer during the policy term. A retroactive provision provides coverage for known claims, for which the underlying event had occurred and the incident would have been reportable prior to the effective date of the claims-made policy. A recognized liability for [incurred but not reported](#) claims generally would not be determinative in concluding that a claims-made insurance policy either does or does not contain a retroactive provision.
- 720-20-25-10** All relevant facts and circumstances should be considered in evaluating whether a claims-made policy contains a retroactive provision. The following are indicators that a claims-made insurance policy does not contain a retroactive provision (that is, it does not provide coverage for previously reportable claims) and, therefore, shall be accounted for on a prospective basis. No one indicator is determinative in this evaluation; the determination must be made upon the specific facts and circumstances:
- The insured consistently purchases claims-made insurance policies as part of its risk management program for the specific type of risk being insured, and [tail coverage](#) for both prior periods and prior policies is readily available and not excessively priced as compared to tail coverage offered to similar entities that do not contain retroactive provisions.
 - The claims-made insurance policy is responsive to unknown risks for a finite or limited period of time, as evidenced by the fact that all of the following conditions exist:
 - The type of risk being insured is inherently short-tailed (that is, the claims are incurred during the policy period and paid out in their entirety shortly after the end of the policy period).
 - The policy term is for a limited period of time (for example, one-year coverage).

3. Claims-made coverage is the most readily available coverage for this type of insurance risk.

4. The occurrence date of the type of risk covered by the policy is unclear (that is, the causal event that gives rise to an insured claim is difficult to determine). Such a lack of identification creates difficulty in assessing risk for an entity considering whether to self-insure its insurance risk (for example, a manufacturing entity may be completely unaware of the potential health hazards attributable to its core products and may want to protect itself in case a by-product of its production process becomes the next asbestos).

c. The claims-made insurance policy contains an unambiguous trigger indicating that a claim is covered by the policy. That contract trigger should not be subject to interpretation, negotiation, or manipulation. An example of an unambiguous trigger that indicates that a claim is covered by a claims-made insurance policy would include both of the following provisions:

1. The insured notifies the insurance carrier during the policy term that a claim has been asserted or that an incident has occurred.

2. The insured must represent that it was not aware of any such incident when the claims-made policy was purchased.

d. The premium charged for the claims-made insurance policy is not significantly in excess of the premium that would be charged for a claims-made insurance policy that could be purchased by a similar entity with similar insurance risks and no knowledge of any circumstances or events that would result in any claims, excluding any anticipated amounts for a typical number of claims for which the insured is not aware to have specifically occurred but that it expects would be reported (incurred but not reported).

e. The insurer may base the premium for the claims-made insurance policy on estimates and predictions that are based on the past experience of the insured but the premium is not based on settlement estimates of specific, known events that are expected to be recovered under the policy.

f. The premium charged for the policy in the current year is not significantly in excess of that charged in previous years, other than for increases in the amount or type of coverage. An anticipated increase in premiums that is expected to occur because the insured entity is advancing toward the mature stage of premiums for claims-made insurance would not be considered in making that determination.

g. The claims-made insurance policy is primarily intended to cover insurance risk and is not a financing arrangement. Claims-made insurance policies that are intended to cover insurance risk typically include features such as:

1. An absence of adjustment features based on experience

2. Coverage of the ultimate loss from the claim, once made, regardless of period of settlement.

h. If the claims-made insurance policy has a specified retroactive date prior to the inception of the claims-made relationship with the insurer, the period from that specified retroactive date to the inception of the claims-made relationship with that insurer is either short or covered by other insurance policies.

720-20-25-11 Although the guidance in the [Retroactive Contracts Subsection](#) of this Section (see paragraph [720-20-25-3](#)) applies to situations in which the insured entity uses a claims-made insurance policy to finance known losses (that is, when the insurance contract was purchased in order to provide insurance coverage for specific, known events that occurred or were reportable before the inception of the contract), the guidance in that paragraph does not preclude prospective accounting for those claims-made insurance policies or portions of those policies that contain only prospective provisions.

720-20-25-12 An insured entity may, for various reasons, contemporaneously enter into multiple claims-made insurance policy contracts. In those circumstances, an entity should consider whether those insurance

contracts should be combined in order to determine the appropriate accounting treatment. The guidance contained in Section [944-20-15](#) is helpful in those instances.

720-20-25-13 See Examples 1-3 (paragraphs [720-20-55-2 through 55-12](#)) for illustrations of the application of the recognition guidance for claims-made contracts.

> Recognizing a Liability for Incurred but Not Reported Claims

720-20-25-14 Paragraph [450-20-25-2](#) requires that insured entities (except as discussed in Section [944-20-15](#)), including those that use a claims-made approach for insuring certain risks, recognize a liability for the probable losses from incurred but not reported claims and incidents if the loss is both probable and reasonably estimable. Paragraphs [450-20-55-10 through 55-17](#) provide implementation guidance about litigation, claims, and assessments.

Multiple-Year Retrospectively Rated Contracts

 [Related Proposed ASUs](#)

720-20-25-15 For a multiple-year retrospectively rated insurance contract accounted for as insurance, the insured shall recognize either of the following:

- a. As indicated in paragraph [944-20-25-2](#), a liability to the extent that the insured has an obligation to pay cash (or other consideration) to the insurer that would not have been required absent experience under the contract
- b. As indicated in paragraph [944-20-25-2](#), an asset to the extent that any cash (or other consideration) would be payable by the insurer to the insured based on experience to date under the contract.

30 Initial Measurement

 **General Note:** The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

720-20-30-1 See Subtopic [340-30](#) and Section [720-20-25](#) for measurement guidance on deposit accounting for payments to insurance entities that may not involve transfer of risk.

Claims-Made Contracts

> Liability for Incurred but Not Reported Claims Based on the Cost of Tail Coverage

- 720-20-30-2** The estimated cost of purchasing [tail coverage](#) is not relevant in determining the loss to be accrued because paragraph [210-20-45-1](#) prohibits netting the insurance receivable against the claim liability. However, if the insured entity had the unilateral option to purchase tail coverage at a premium not to exceed a specified fixed maximum, then the insured entity could record a receivable for expected insurance recoveries (after considering deductibles and policy limits) for the portion of the [incurred but not reported](#) liability that is insurable under the tail coverage. In that case, the entity would need to record as a cost the expected premium for the tail coverage. The purchase of tail coverage does not eliminate the need to determine if an additional liability should be accrued because of policy limits or other factors.

Multiple-Year Retrospectively Rated Contracts

- 720-20-30-3** For a multiple-year retrospectively rated insurance contract accounted for as insurance, the amount recognized in the current period shall be computed using a with-and-without method, as the difference between the insured's total contract costs before and after the experience under the contract as of the reporting date, including costs such as premium adjustments, settlement adjustments, and impairments of coverage. The amount of premium expense related to impairments of coverage shall be measured in relation to the original contract terms. Future experience under the contract (that is, future losses and future premiums that would be paid regardless of past experience) shall not be considered in measuring the amount to be recognized.
- 720-20-30-4** If the insured could terminate the contract before the end of its term and if termination would change the amounts paid (for example, if terminating the contract would cost less than continuing the contract in force), the liability resulting from the contract shall be measured as follows:
- a. If a decision to terminate has been made, the measurement shall be based on an assumption of termination and on experience to date.
 - b. Otherwise, the measurement shall be based on the lesser of the following:
 1. The total incremental amount that would be paid based on the with-and-without calculation assuming experience to date and assuming termination (that is, excluding the effects of future losses and future premiums that would have been paid regardless of experience to date)
 2. The total incremental amount that would be paid based on the with-and-without calculation assuming experience to date and assuming no termination (that is, excluding the effects of future losses and future premiums that would have been paid regardless of experience to date).

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

[🔗 Related Proposed ASUs](#)

720-20-35-1 See Subtopic [340-30](#) for measurement guidance on deposit accounting for payments to insurance entities that may not involve transfer of risk.

Retroactive Contracts

[🔗 Related Proposed ASUs](#)

> Deferred Gain Amortization

720-20-35-2 If the amounts and timing of the insurance recoveries can be reasonably estimated, the deferred gain shall be amortized using the interest method over the estimated period over which the entity expects to recover substantially all amounts due under the terms of the insurance contract. If the amounts and timing of the insurance recoveries cannot be reasonably estimated, then the proportion of actual recoveries to total estimated recoveries shall be used to determine the amount of the amortization.

Claims-Made Contracts

[🔗 Related Proposed ASUs](#)

> Interim Financial Reporting—Entity's Fiscal Year and Policy Year Coincide

720-20-35-3 When the entity's fiscal year and policy year coincide, an appropriate method to recognize expense is through a combination of any of the following:

- a. Accruing the [incurred but not reported](#) liability
- b. Accruing any expected increase in insurance recoverables
- c. Amortizing the insurance premium on a pro rata basis over the year.

In addition, the liability for any unusual claims or incidents, as well as any applicable insurance recoverable related thereto, would be recognized in the interim period in which they become known.

720-20-35-4 For interim reporting, the approach treats usual recurring losses as integral to annual reporting, and, therefore, any expected changes in the incurred but not reported liability and related insurance recoverables that are not related to specific events can be spread over the entire year. However, material unusual losses shall be accounted for as discrete items and recognized as they occur. The approach discussed in this Subsection assumes the recurring purchase of a claims-made insurance policy with a one-year term and the payment of premiums on the first day of each policy year.

720-20-35-5 When the entity's fiscal year and policy term coincide, the year-end incurred but not reported liability relates to the entity's obligation for claims and incidents that have been incurred prior to year-end but will be reportable after year-end. The approach for accounting by policyholders who purchase claims-made insurance policies that consist of prospective provisions is as follows:

- a. The premium paid at the beginning of the fiscal year for the new claims-made insurance policy shall be recognized as a prepaid expense.
- b. At the beginning of the fiscal year, the entity shall estimate its incurred but not reported liability as of the end of the fiscal year. That estimate involves estimating the claims and incidents that will be incurred prior to year-end but will not be reportable until after year-end. Presumably the estimated year-end incurred but not reported liability would approximate the beginning incurred but not reported liability adjusted for relevant historical patterns unless the entity has identified new factors (such as a major change in products, manufacturing processes, or risk management systems) that warrant further adjustment of the ending incurred but not reported liability.

- c. The entity shall compute an estimated annual expense as the sum of all of the following:
 1. The premium paid for the claims-made policy
 2. The difference between the beginning incurred but not reported liability and the estimated year-end incurred but not reported liability
 3. The difference between the beginning insurance recoverable related to the incurred but not reported liability and the estimated ending amount.

That estimated annual expense shall be recognized in interim periods based on the methodology that best reflects the manner in which the benefits of the insurance coverage are consumed and the incurred but not reported liability is incurred. In addition, liabilities for specific claims incurred during the year that are not included in the incurred but not reported estimate shall be recognized as expense in the interim period in which they are incurred. The method selected shall be appropriate in light of the relevant facts and circumstances and consistently applied.

d. The estimated year-end incurred but not reported liability shall be reviewed whenever interim financial statements are prepared. Routine adjustments to the estimated liability shall be recognized ratably in each of the remaining interim periods. However, if events and circumstances in that interim period indicate that unusual claims and incidents have been incurred prior to the end of the interim period, the entity shall recognize in that interim period any related significant adjustments of the estimated year-end incurred but not reported liability.

e. For any insurance recoverable recognized, either related to the incurred but not reported liability or to a specific incurred claim, the entity shall evaluate those assets and adjust them, if necessary, based on changes in circumstances. See paragraphs [410-30-35-8 through 35-11](#) for further guidance on the recognition of a receivable for expected insurance recoveries.

f. Any unusual claims and incidents that have been incurred prior to the end of an interim period but will probably be reported prior to year-end should not affect net income if they will be covered (insured) under the existing claims-made insurance policy. However, both the asset (under the insurance claim) and the liability (for the incident) shall be reflected on the balance sheet.

720-20-35-6 See the [Claims-Made Contracts](#) Subsection of Section 720-20-45 for guidance on offsetting insurance assets and liabilities.

720-20-35-7 See Example 4 (paragraph [720-20-55-13](#)) for illustrations of the application of the subsequent measurement guidance for interim financial reporting when an entity's fiscal year and policy year coincide.

> Interim Financial Reporting—Entity's Fiscal Year and Policy Year Do Not Coincide

720-20-35-8 When the entity's fiscal year and policy year do not coincide, the insurance premium component of expense in interim periods could be based on the estimated premium for claims-made coverage that the entity expects to be able to acquire later in the fiscal year.

720-20-35-9 When the entity's fiscal year and policy term do not coincide, an entity shall recognize all of the following elements at year-end:

- a. An incurred but not reported liability related to the entity's obligation for claims and incidents that have been incurred prior to year-end but will be reportable after year-end
- b. An insurance recoverable for any outstanding claims that are reimbursable under the existing claims-made policy
- c. An asset for prepaid insurance premiums related to the coverage for claims and incidents that will be incurred after year-end but reported prior to the expiration of the existing claims-made policy.

720-20-35-10

The approach for accounting by policyholders who purchase claims-made insurance policies that have terms of duration that do not coincide with the entity's fiscal year is as follows:

- a. At the beginning of the fiscal year the entity shall make an estimate of its future premium cost of the new claims-made policy that is expected to be purchased during the fiscal year. The entity shall also estimate the portion of that future premium cost that would relate to coverage for claims and incidents that will be incurred after the end of the fiscal year but reported prior to the expiration of that new claims-made policy; that portion represents the estimated prepaid asset at the end of the fiscal year. The estimate of the future premium cost involves estimating the effect of past claims and incidents that are expected to affect the premium level, as well as the effect of historical patterns and any new factors (such as a major change in products, manufacturing processes, or risk management systems) that are relevant.
- b. At the beginning of the fiscal year the entity shall make an estimate of its incurred but not reported liability as of the end of the fiscal year. That estimate involves estimating the claims and incidents that will be incurred prior to year-end but will not be reportable until after the year-end. Presumably the estimated year-end incurred but not reported liability would closely approximate the beginning incurred but not reported liability adjusted for relevant historical patterns unless the entity has identified new factors (such as a major change in products, manufacturing processes, or risk management systems) that warrant further adjustment of the ending incurred but not reported liability.
- c. The entity shall compute an estimated annual expense as the sum of all of the following:
 1. The balance of the premium cost for the claims-made policy expiring during the year
 2. The estimated future premium cost for the new claims-made policy
 3. The difference between the beginning incurred but not reported liability and the estimated year-end incurred but not reported liability
 4. The difference between the beginning and estimated ending insurance receivable related to incurred but not reported liability.

That estimated annual expense should be recognized ratably in interim periods based on the methodology that best reflects the manner in which the benefits of the insurance premiums are consumed and the incurred but not reported liability is incurred. As indicated in paragraph [720-20-35-5\(c\)](#), the method selected should be appropriate in light of the relevant facts and circumstances and consistently applied. In addition, liabilities for specific claims incurred during the year that are not included in the incurred but not reported estimate shall be recognized as expense in the period in which they are incurred.

- d. The estimated year-end incurred but not reported liability should be reviewed whenever interim financial statements are prepared. Routine adjustments in the estimated liability (such as adjusting the estimated future premium cost to reflect actual) would be recognized ratably in each of the remaining interim periods. However, if events and circumstances in that interim period indicate that unusual claims and incidents have been incurred prior to the end of the interim period, the entity shall recognize in that interim period any related significant adjustments of the estimated year-end incurred but not reported liability.
- e. For any insurance recoverable recognized, either related to the incurred but not reported liability or to a specific incurred claim, the entity should evaluate those assets and adjust them, if necessary, based on changes in circumstances. Paragraphs [410-30-35-8 through 35-11](#) provide further guidance on the recognition of a receivable for expected insurance recoveries.
- f. Any unusual claims and incidents that have been incurred prior to the end of an interim period and that will probably be reported prior to expiration of the new claims-made insurance policy should not affect net income if they will be covered by insurance. However, both the asset (under the insurance claim) and the liability (for the incident) shall be reflected on the balance sheet.

- 720-20-35-11** See the [Claims-Made Contracts](#) Subsection of Section 720-20-45 for guidance on offsetting insurance assets and liabilities.
- 720-20-35-12** See Example 5 (paragraph [720-20-55-20](#)) for an illustration of the application of the subsequent measurement guidance for interim financial reporting when an entity's fiscal year and policy year do not coincide.

Multiple-Year Retrospectively Rated Contracts

 [Related Proposed ASUs](#)

- 720-20-35-13** The insured shall account for changes in coverage in the same manner as changes in other contract costs, as indicated in paragraph [944-20-35-2](#). For example, the effects of decreases in coverage without a commensurate reduction in premium shall be recognized as a loss by the insured when the event causing the decrease in coverage takes place.

45 Other Presentation Matters

-  **General Note:** The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

Claims-Made Contracts

- 720-20-45-1** Unless the conditions of paragraph [210-20-45-1](#) are met, offsetting prepaid insurance and receivables for expected recoveries from insurers against a recognized [incurred but not reported](#) liability or the liability incurred as a result of a past insurable event would not be appropriate.

50 Disclosure

-  **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

Claims-Made Contracts

- 720-20-50-1** When an entity changes from occurrence-based insurance to claims-made insurance or elects to significantly reduce or eliminate its insurance coverage paragraphs [450-20-50-3 through 50-6](#) require disclosure if it is at least reasonably possible that a loss has been incurred. That paragraph also discusses disclosure with respect to unasserted claims.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

Claims-Made Contracts

> Illustrations

- 720-20-55-1** Examples 1-3 (see paragraphs [720-20-55-2 through 55-12](#)) provide illustrations for applying the guidance contained in paragraphs [720-20-25-6 through 25-13](#).

· > Example 1: Directors and Officers Liability Claim Due to Drop in Stock Price

- 720-20-55-2** This Example illustrates how to assess whether an insurance policy for directors and officers liability contains a retroactive provision. The Example contains the following two Cases:
- A policy without a retroactive provision (Case A)
 - A policy with a retroactive provision (Case B).

· · > Case A: Policy Does Not Contain Retroactive Provision

- 720-20-55-3** Entity A is a manufacturer that purchases directors and officers insurance under a claims-made insurance policy each year. Entity A immediately reports any asserted claims or incidents that could result in an asserted claim to its insurance carrier. Entity A currently has no knowledge of any unasserted claims against it and is unaware of any event that would result in any claims. Entity A considers the use of a claims-made insurance policy to be the most efficient and least costly method available to manage its insurance risk related to suits against its directors and officers. Entity A pays BrokerCo to handle its insurance needs. BrokerCo supplies Entity A with binding quotes from several insurance carriers and a comparison to binding quotes for other similar entities. Entity A believes that its premiums are comparable to those of other similar entities that have similar insurance risk profiles and no knowledge of any events or circumstances that might result in a claim. Entity A has an option to purchase tail coverage, which would effectively convert its claims-made policies into occurrence-based policies at any time. On January 1, 20X3, Entity A pays its annual premium of \$5 million for its policy. The policy has a retroactive date to January 1, 20X0, which is the year that Entity A first started

using the claims-made insurance approach with its insurance carrier. Entity A is unable to bifurcate its policy premium into its retroactive and prospective provisions.

720-20-55-4 In June 20X3, there is a precipitous drop in the stock price of Entity A, and a lawsuit is brought against the directors. Entity A notifies its insurer about the asserted claim, and the insurer agrees that those claims are covered by its claims-made policy in effect for 20X3.

720-20-55-5 Based on an evaluation of the circumstances, Entity A determined in 20X0 that its claims-made insurance policy is a prospective contract that does not contain any retroactive provisions. Essentially, Entity A was unaware of any known events or circumstances that might result in a claim and viewed the premiums paid for its directors and officers insurance as providing coverage against claims that might occur during the policy period. In making its determination that the claims-made insurance policy did not contain a retroactive provision, Entity A also considered the following:

- a. Entity A typically uses a claims-made policy to manage its insurance risk and plans to continue purchasing a claims-made insurance policy annually.
- b. Tail coverage is readily available.
- c. The premium charged for the claims-made policy is not significantly in excess of premiums charged to other similar entities with similar insurance profiles.
- d. The claims-made policy contains an unambiguous contract trigger to determine when claims are covered.
- e. Because Entity A has no knowledge of any asserted claims or events that would result in a claim, the claims-made policy is primarily expected to cover insurance risk related to future claims.

· · > Case B: Policy Contains Retroactive Provision

720-20-55-6 This Case makes the same assumptions as Case A, except that the precipitous drop in the stock price of Entity A occurred in 19X9, prior to the inception of its claims-made insurance program with its insurance carrier. During the negotiation of the contract premium, Entity A discussed its concerns with its insurance carrier, and the two agreed that the retroactive date would include any claims related to the drop in the stock price. As a result, the premium was \$50 million.

720-20-55-7 Based on an evaluation of the circumstances, Entity A determined in 20X0 that its claims-made insurance policy contains a retroactive provision. Entity A knows that the \$50 million premium charged represents the expected costs of settling any claims related to the drop in its stock price, an event that was fully known at the inception of the contract. Entity A disclosed this fact to its insurer, and the two agreed that it might result in a claim and negotiated a premium based on that premise. In making its determination that its directors and officers policy contains a retroactive provision, Entity A also considered the following:

- a. The claims-made policy was taken out in part in response to a known incident that was reported to the insurer.
- b. The premium charged by the insurer includes an estimate of the expected settlement costs for the unasserted claim.
- c. The premium charged primarily represents a financing of the unasserted claim.

720-20-55-8 Prior to accounting for the entire contract retroactively, Entity A should, if practicable, bifurcate the contract into its retroactive and prospective provisions and account for each separately.

· > Example 2: Environmental Contamination Liability Claims

720-20-55-9 On February 20, 20X2, Entity A determined that it needed to recognize a \$100 million liability for environmental contamination as a result of an accident at one of its manufacturing plants. Entity A initially believed that it would manage the cleanup and any lawsuits arising from the accident through

an internal self-insurance program. Subsequently, Entity A decided to purchase a claims-made insurance policy that would include all claims arising from the incident. Entity A decided that it should purchase the policy because it would be more efficient to transfer the risk associated with the development and timing of claims to a third party and representing that the risk associated with all claims had been transferred to a third party would reduce the risk profile of Entity A to its shareholders and other potential investors. On April 1, 20X2, Entity A pays InsurerCo \$60 million for a claims-made insurance policy. Entity A and InsurerCo expect the claims related to the incident to be settled over a 10-year period after the purchase of the policy.

720-20-55-10 Based on an evaluation of the indicators, Entity A determines that its claims-made insurance policy contains a retroactive provision. In making that determination, Entity A specifically considered the following:

- a. The claims-made policy was purchased specifically to cover known claims for which a liability had been recognized.
- b. The claims-made policy effectively represented a financing of the liability previously recognized by Entity A.
- c. The premium charged was primarily based on expected payouts for an event that had already occurred.

· > Example 3: Medical Malpractice Liability Claims

720-20-55-11 HealthCo is a health care provider that purchases medical malpractice insurance in order to manage its insurance risks. HealthCo purchases a claims-made insurance policy each year from its insurance carrier. HealthCo would be able to purchase tail coverage from its insurance carrier if it chose to do so. Although HealthCo has no knowledge of any asserted or unasserted claims against it, HealthCo estimates and recognizes a liability for claims [incurred but not reported](#) of \$25 million at December 31, 20X2, based on actuarial reviews of its historical claims reporting and payment patterns. HealthCo engages an insurance brokerage entity to ensure that its insurance premiums are consistent with those offered to similar entities with similar insurance risks. During 20X2, HealthCo paid out \$95 million of malpractice claims that were fully covered by its insurance program. On January 1, 20X3, HealthCo pays its annual premium of \$100 million for its claims-made policy. HealthCo expects that it will require a liability of \$29 million on December 31, 20X3. The policy does not cover incidents occurring prior to the inception of the claims-made insurance program with that insurance carrier. In negotiating its policy with InsurerCo, HealthCo asserts to InsurerCo that it is unaware of any specific, current claims (asserted or unasserted) against it.

720-20-55-12 Based on an evaluation of the indicators, HealthCo determines that its claims-made insurance policy is a prospective contract that does not contain any retroactive provisions. In making that determination, HealthCo specifically considered the following:

- a. There are no known asserted or unasserted claims that are expected to be covered by the policy. The liability recognized for incurred but not reported claims would not preclude HealthCo from concluding that its claims-made insurance policy is prospective as HealthCo represented that it did not know of any asserted claims.
- b. Tail coverage is readily available.
- c. The premium charged for the claims-made policy is not significantly in excess of premiums charged for similar policies with no retroactive dates.
- d. There is a clear and unambiguous contract coverage trigger.

· > Example 4: Entity's Fiscal Year and Policy Year Coincide

720-20-55-13 This Example provides illustrations for applying the guidance contained in paragraphs [720-20-35-3 through 35-7](#). This Example contains the following Cases:

- a. Calculations are made using assumed facts (Case A).

- b. The entity revises its incurred but not reported estimate (Case B).
- c. The entity discovers a defect in the manufacturing process (Case C).

720-20-55-14 Cases A, B, and C illustrate how to calculate various required amounts (for example, the expected annual insurance expense, the expected quarterly insurance expense, the incurred but not reported liability, the known claims liability and the prepaid insurance) under each Case's different circumstances. Cases A, B, and C share all of the following assumptions.

- a. Entity A purchases claims-made policies every year for its insurable risk. The insurance arrangement meets the criteria for prospective treatment as described in paragraphs [720-20-25-7 through 25-8](#). The policy has a \$500,000 per incident deductible and a \$2 million per incident maximum with a policy limit of \$15 million. When calculating the insurance recoverable related to incurred but not reported incidents, Entity A assumes that approximately 50 percent of the gross claim value will be recovered because of the deductible. Entity A does not anticipate incurring any losses in excess of the policy's maximums.
- b. Accrued incurred but not reported liability at 12/31/X0: \$2 million.
- c. Receivable for insurance recoverable at 12/31/X0: \$1 million.
- d. Estimated incurred but not reported liability at 12/31/X1: \$2.2 million.
- e. Estimated receivable for insurance recoverable at 12/31/X1: \$1.1 million.
- f. Premium for claims-made policy for year ending 12/31/X1, payable 1/1/X1: \$1.6 million.
- g. Value of claim for an incident reported during the second quarter (the claim is covered by the insurance policy subject to a \$500,000 deductible and was both paid to the claimant and recovered from the carrier during the third quarter): \$750,000.

Computations (in thousands):

Expected annual expense	= annual premium + expected increase in IBNR liability - expected increase in insurance recoverable
	= \$1,600 + (\$2,200 - \$2,000) - (\$1,100 - \$1,000)
	= \$1,600 + \$200 - \$100
	= \$1,700
Expected quarterly expense	= \$1,700 ÷ 4 = \$425

IBNR: Incurred but not reported

· · > Case A: Calculations Made Using Assumed Facts

720-20-55-15 The following table illustrates computation of quarterly insurance expense.

INBR liability ^(a) (in thousands):

	<u>Qtr 1</u>	<u>Qtr 2</u>	<u>Qtr 3</u>	<u>Qtr 4</u>
Balance, beginning of quarter	\$ (2,000)	\$ (2,050)	\$ (2,100)	\$ (2,150)
Add: accrual ^(b)	-50	-50	-50	-50
Balance, end of quarter	<u>\$ (2,050)</u>	<u>\$ (2,100)</u>	<u>\$ (2,150)</u>	<u>\$ (2,200)</u>

Known claims liability (in thousands):

	<u>Qtr 1</u>	<u>Qtr 2</u>	<u>Qtr 3</u>	<u>Qtr 4</u>
Balance, beginning of quarter	\$ -	\$ -	\$ (750)	\$ -
Add: claims made	-	(750)	-	-
Less: claims paid	-	-	750	-
Balance, end of quarter	<u>\$ -</u>	<u>\$ (750)</u>	<u>\$ -</u>	<u>\$ -</u>

Prepaid insurance (in thousands):

	<u>Qtr 1</u>	<u>Qtr 2</u>	<u>Qtr 3</u>	<u>Qtr 4</u>
Balance, beginning of quarter	\$ -	\$ 1,200	\$ 800	\$ 400
Add: premium payments made	1,600	-	-	-
Less: amortization ^(c)	(400)	(400)	(400)	(400)
Balance, end of quarter	<u>\$ 1,200</u>	<u>\$ 800</u>	<u>\$ 400</u>	<u>\$ -</u>

Insurance recoverable ^(d) (in thousands):

	<u>Qtr 1</u>	<u>Qtr 2</u>	<u>Qtr 3</u>	<u>Qtr 4</u>
Balance, beginning of quarter	\$ 1,000	\$ 1,025	\$ 1,300	\$ 1,075
Add: Expected recoveries	25	275	25	25
Less: Recoveries received	-	-	(250)	-
Balance, end of quarter	<u>\$ 1,025</u>	<u>\$ 1,300</u>	<u>\$ 1,075</u>	<u>\$ 1,100</u>

Quarterly expense (in thousands):

	<u>Qtr 1</u>	<u>Qtr 2</u>	<u>Qtr 3</u>	<u>Qtr 4</u>
Amortization of prepaid insurance	\$ 400	\$ 400	\$ 400	\$ 400
Accrual of IBNR liability	50	50	50	50
Accrued claims reported	-	750	-	-
Accrued insurance recoveries	(25)	(275)	(25)	(25)
Total expense	<u>\$ 425</u>	<u>\$ 925</u>	<u>\$ 425</u>	<u>\$ 425</u>

IBNR: Incurred but not reported

- (a) Paragraph 210-20-45-1 provides additional guidance on when the legal right to setoff exists and should be used to determine whether prepaid insurance (or insurance recoverable) and a recognized incurred but not reported liability (or the claim liability incurred as a result of a reported event) may be offset. Such offsetting would not be appropriate unless the conditions of that paragraph are met. For income statement purposes, however, the expenses related to claims reported and the income related to insurance recoverables may be offset.
- (b) Straight-line accrual of the incurred but not reported liability is assumed for purposes of simplicity but would only be appropriate if management expects that the underlying incurred but not reported claims covered by the insurance arrangement would occur evenly throughout the year. See paragraphs 720-20-35-3 through 720-20-35-7.
- (c) Straight-line amortization of the prepaid insurance premium is assumed for purposes of simplicity only. See paragraph 720-20-35-5.
- (d) Paragraphs 410-30-35-8 through 410-30-35-11 provide further guidance on the recognition of a receivable for expected insurance recoveries.

· · > Case B: Entity Revises its Incurred but Not Reported Estimate**720-20-55-16**

In this Case Entity A revises its estimated year-end incurred but not reported liability from \$2.2 million to \$2.6 million in the second quarter due to overall increases in settling claims, which is considered a routine adjustment by management, and Entity A determines that a reasonable matching of the additional cost to the periods benefited results in recognizing one-half of the adjustment in the second quarter and the remainder of the adjustment over the remaining interim periods on a pro rata basis.

720-20-55-17

The following table illustrates computation of quarterly insurance expense.

IBNR liability (in thousands):

	<u>Qtr 1</u>	<u>Qtr 2</u>	<u>Qtr 3</u>	<u>Qtr 4</u>
Balance, beginning of quarter	\$ (2,000)	\$ (2,050)	\$ (2,300)	\$ (2,450)
Add: accrual	(50)	(250)	(150)	(150)
Balance, end of quarter	<u>\$ (2,050)</u>	<u>\$ (2,300)</u>	<u>\$ (2,450)</u>	<u>\$ (2,600)</u>

Known claims liability (in thousands):

Same as Example 5.

Prepaid insurance (in thousands):

Same as Example 5.

Insurance recoverable (in thousands):

	<u>Qtr 1</u>	<u>Qtr 2</u>	<u>Qtr 3</u>	<u>Qtr 4</u>
Balance, beginning of quarter	\$ 1,000	\$ 1,025	\$ 1,400	\$ 1,225
Add: Expected recoveries	25	375	75	75
Less: Recoveries received	-	-	(250)	-
Balance, end of quarter	<u>\$ 1,025</u>	<u>\$ 1,400</u>	<u>\$ 1,225</u>	<u>\$ 1,300</u>

Quarterly expense (in thousands):

	<u>Qtr 1</u>	<u>Qtr 2</u>	<u>Qtr 3</u>	<u>Qtr 4</u>
Amortization of prepaid insurance	\$ 400	\$ 400	\$ 400	\$ 400
Accrual of IBNR liability	50	250	150	150
Accrued claims reported	-	750	-	-
Accrued insurance recoveries	(25)	(375)	(75)	(75)
Total expense	<u>\$ 425</u>	<u>\$ 1,025</u>	<u>\$ 475</u>	<u>\$ 475</u>

IBNR: Incurred but not reported

· · > Case C: Entity Discovers Defect in Manufacturing Process

720-20-55-18

In this Case Entity A discovers a defect in the manufacturing process in the third quarter and corrects it. Entity A evaluates whether its incurred but not reported liability warrants adjustment and concludes that an additional \$2.1 million liability is needed for claims that are expected to be reported after year-end. Entity A considers the discovery of the defect to be an unusual event and determines that a reasonable matching of the additional cost to the periods benefited results in the entire adjustment being recognized in the third quarter.

720-20-55-19

The following table illustrates computation of quarterly insurance expense.

IBNR liability (in thousands):

	<u>Qtr 1</u>	<u>Qtr 2</u>	<u>Qtr 3</u>	<u>Qtr 4</u>
Balance, beginning of quarter	\$ (2,000)	\$ (2,050)	\$ (2,300)	\$ (2,450)
Add: accrual	(50)	(250)	(150)	(150)
Balance, end of quarter	<u>\$ (2,050)</u>	<u>\$ (2,300)</u>	<u>\$ (2,450)</u>	<u>\$ (2,600)</u>

Known claims liability (in thousands):

Same as Example 5.

Prepaid insurance (in thousands):

Same as Example 5.

Insurance recoverable (in thousands):

	<u>Qtr 1</u>	<u>Qtr 2</u>	<u>Qtr 3</u>	<u>Qtr 4</u>
Balance, beginning of quarter	\$ 1,000	\$ 1,025	\$ 1,400	\$ 1,225
Add: Expected recoveries	25	375	75	75
Less: Recoveries received	-	-	(250)	-
Balance, end of quarter	<u>\$ 1,025</u>	<u>\$ 1,400</u>	<u>\$ 1,225</u>	<u>\$ 1,300</u>

Quarterly expense (in thousands):

	<u>Qtr 1</u>	<u>Qtr 2</u>	<u>Qtr 3</u>	<u>Qtr 4</u>
Amortization of prepaid insurance	\$ 400	\$ 400	\$ 400	\$ 400
Accrual of IBNR liability	50	250	150	150
Accrued claims reported	-	750	-	-
Accrued insurance recoveries	(25)	(375)	(75)	(75)
Total expense	<u>\$ 425</u>	<u>\$ 1,025</u>	<u>\$ 475</u>	<u>\$ 475</u>

IBNR: Incurred but not reported

· > Example 5: Entity's Fiscal Year and Policy Year Do Not Coincide

720-20-55-20

This Example provides an illustration for applying the guidance contained in paragraphs [720-20-35-8 through 35-12](#). This Example has the following assumptions:

- a. Entity A purchases claims-made policies every year for its insurable risk. The insurance arrangement meets the criteria for prospective treatment as described in paragraphs [720-20-25-7 through 25-8](#). The policy has a \$500,000 per incident deductible and a \$2 million per incident maximum with a policy limit of \$15 million. When calculating the insurance recoverable related to incurred but not reported incidents, Entity A assumes that approximately 50 percent of the gross claim value will be recovered because of the deductible. Entity A does not anticipate incurring any losses in excess of the policy's maximums.
- b. The policy period runs from May 1 to April 30, and uses a December 31 year-end for financial reporting purposes.
- c. Accrued incurred but not reported liability at 12/31/X0: \$2 million.
- d. Receivable for insurance recoverable at 12/31/X0: \$1 million.
- e. Estimated incurred but not reported liability at 12/31/X1: \$2.2 million.
- f. Estimated receivable for insurance recoverable at 12/31/X1: \$1.1 million.
- g. Premium for one year claims-made policy expiring 4/30/X1: \$1.2 million.
- h. Estimated premium for one-year claims-made policy commencing 5/1/X1: \$1.8 million.
- i. Value of claim for an incident reported during the second quarter (the claim is covered by the insurance policy subject to a \$500,000 deductible and was both paid to the claimant and recovered from the carrier during the third quarter): \$750,000.

Computations (in thousands):

$$\begin{aligned}
 \text{Expected annual expense} &= \text{premium costs} + \text{expected increase in IBNR liability} - \text{expected increase in insurance recoverable} \\
 &= \{(\$1,200 \times (4/12)) + (\$1,800 \times (8/12))\} + (\$2,200 - \$2,000) - (1,100 - 1,000) \\
 &= (\$400 + 1,200) + \$200 - \$100 \\
 &= \$1,700
 \end{aligned}$$

$$\text{Expected quarterly expense} = \$1,700 \div 4 = \$425$$

IBNR: Incurred but not reported

INBR liability (in thousands):				
	Qtr 1	Qtr 2	Qtr 3	Qtr 4
Balance, beginning of quarter	\$ (2,000)	\$ (2,050)	\$ (2,100)	\$ (2,150)
Add: accrual	(50)	(50)	(50)	(50)
Balance, end of quarter	<u>\$ (2,050)</u>	<u>\$ (2,100)</u>	<u>\$ (2,150)</u>	<u>\$ (2,200)</u>
Known claims liability (in thousands):				
	Qtr 1	Qtr 2	Qtr 3	Qtr 4
Balance, beginning of quarter	\$ -	\$ -	\$ (750)	\$ -
Add: claims made	-	(750)	-	-
Less: claims paid	-	-	750	-
Balance, end of quarter	<u>\$ -</u>	<u>\$ (750)</u>	<u>\$ -</u>	<u>\$ -</u>
Prepaid insurance (in thousands):				
	Qtr 1	Qtr 2	Qtr 3	Qtr 4
Balance, beginning of quarter	\$ -	\$ 1,200	\$ 1,400	\$ 400
Add: premium payments made	1,600	-	-	-
Less: amortization	(400)	(400)	(400)	(400)
Balance, end of quarter	<u>\$ 1,200</u>	<u>\$ 800</u>	<u>\$ 400</u>	<u>\$ -</u>
Insurance recoverable (in thousands):				
	Qtr 1	Qtr 2	Qtr 3	Qtr 4
Balance, beginning of quarter	\$ 1,000	\$ 1,025	\$ 1,300	\$ 1,075
Add: Expected recoveries	25	275	25	25
Less: Recoveries received	-	-	(250)	-
Balance, end of quarter	<u>\$ 1,025</u>	<u>\$ 1,300</u>	<u>\$ 1,075</u>	<u>\$ 1,100</u>
Quarterly expense (in thousands):				
	Qtr 1	Qtr 2	Qtr 3	Qtr 4
Amortization of prepaid insurance	\$ 400	\$ 400	\$ 400	\$ 400
Accrual of IBNR liability	50	50	50	50
Accrued claims reported	-	750	-	-
Accrued insurance recoveries	(25)	(725)	(25)	(25)
Total expense	<u>\$ 425</u>	<u>\$ 925</u>	<u>\$ 425</u>	<u>\$ 425</u>
IBNR: Incurred but not reported				

60 Relationships

General Note:The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

Claims-Made Contracts

> Health Care Entities

720-20-60-1 For guidance on the recognition of a liability for claims [incurred but not reported](#), see paragraph [954-450-25-2](#).

720 Other Expenses

25 Contributions Made

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

720-25-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Conditional Contribution	Added	Accounting Standards Update No. 2018-08	06/21/2018
	Contribution	Amended	Accounting Standards Update No. 2018-08	06/21/2018
	Contribution	Amended	Accounting Standards Update No. 2010-07	01/28/2010
	Donor-Imposed Condition	Added	Accounting Standards Update No. 2018-08	06/21/2018
	Not-for-Profit Entity	Added	Accounting Standards Update No. 2018-08	06/21/2018
	720-25-15-1 through 15-3	Amended	Accounting Standards Update No. 2018-08	06/21/2018
	720-25-15-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	720-25-25-1	Amended	Accounting Standards Update No. 2018-08	06/21/2018
	720-25-50-1	Amended	Accounting Standards Update No. 2018-08	06/21/2018
	720-25-55-1	Added	Accounting Standards Update No. 2018-08	06/21/2018
	720-25-55-2	Added	Accounting Standards Update No. 2018-08	06/21/2018

05 Overview and Background

i General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

720-25-05-1 This Subtopic provides guidance on accounting for [contributions](#) made, including [unconditional promises to give](#).

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

720-25-15-1 The guidance in this Subtopic applies to all entities. Not-for-profit entities (NFP) should see Subtopic [958-720](#) on other expenses for additional guidance on contributions made.

> Transactions

720-25-15-2 The guidance in this Subtopic applies to [contributions](#) of cash and other assets, including [promises to give](#) made by resource providers. For all entities that receive contributions, see the contributions received guidance in paragraphs [958-605-15-3 through 15-5A](#).

720-25-15-3 The guidance in this Subtopic does not apply to the transactions and activities specified in paragraph [958-605-15-6](#), which is in the Contributions Received Subsection of that Subtopic.

- a. [Subparagraph superseded by Accounting Standards Update No. 2018-08](#).
- b. [Subparagraph superseded by Accounting Standards Update No. 2018-08](#).
- c. [Subparagraph superseded by Accounting Standards Update No. 2018-08](#).

d. [Subparagraph superseded by Accounting Standards Update No. 2018-08.](#)

20 Glossary

i General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Conditional Contribution

A contribution that contains a [donor-imposed condition](#).

Contribution

An unconditional transfer of cash or other assets, as well as [unconditional promises to give](#), to an entity or a reduction, settlement, or cancellation of its liabilities in a voluntary nonreciprocal transfer by another entity acting other than as an owner. Those characteristics distinguish contributions from:

- a. Exchange transactions, which are reciprocal transfers in which each party receives and sacrifices approximately commensurate value
- b. Investments by owners and distributions to owners, which are nonreciprocal transfers between an entity and its owners
- c. Other nonreciprocal transfers, such as impositions of taxes or legal judgments, fines, and thefts, which are not voluntary transfers.

In a contribution transaction, the resource provider often receives value indirectly by providing a societal benefit although that benefit is not considered to be of commensurate value. In an exchange transaction, the potential public benefits are secondary to the potential direct benefits to the resource provider. The term *contribution revenue* is used to apply to transactions that are part of the entity's ongoing major or central activities (revenues), or are peripheral or incidental to the entity (gains). See also [Inherent Contribution](#) and [Conditional Contribution](#).

Donor-Imposed Condition

A donor stipulation (donors include other types of contributors, including makers of certain grants) that represents a barrier that must be overcome before the recipient is entitled to the assets transferred or promised. Failure to overcome the barrier gives the contributor a right of return of the assets it has transferred or gives the promisor a right of release from its obligation to transfer its assets.

Inherent Contribution

A contribution that results if an entity voluntarily transfers assets (or net assets) or performs services for another entity in exchange for either no assets or for assets of substantially lower value and unstated rights or privileges of a commensurate value are not involved.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

- a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return
- b. Operating purposes other than to provide goods or services at a profit
- c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

- a. All investor-owned entities
- b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Promise to Give

A written or oral agreement to contribute cash or other assets to another entity. A promise carries rights and obligations—the recipient of a promise to give has a right to expect that the promised assets will be transferred in the future, and the maker has a social and moral obligation, and generally a legal obligation, to make the promised transfer. A promise to give may be either conditional or unconditional.

Unconditional Promise to Give

A [promise to give](#) that depends only on passage of time or demand by the promisee for performance.

25 Recognition

i General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

720-25-25-1 [Contributions](#) made shall be recognized as expenses in the period made and as decreases of assets or increases of liabilities depending on the form of the benefits given. For example, gifts of items from inventory held for sale are recognized as decreases of inventory and contribution expenses, and [unconditional promises to give](#) cash are recognized as payables and contribution expenses. For guidance on determining whether a contribution, including promises to give, is conditional, see the Contributions Received Subsection of Section [958-605-25](#).

720-25-25-2 If the fair value of an asset transferred differs from its carrying amount, a gain or loss shall be recognized on the disposition of the asset (see paragraphs [845-10-30-1 through 30-2](#)).

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

720-25-30-1 [Contributions](#) made shall be measured at the fair values of the assets given or, if made in the form of a settlement or cancellation of a donee's liabilities, at the fair value of the liabilities cancelled.

720-25-30-2 [Unconditional promises to give](#) that are expected to be paid in less than one year may be measured at net settlement value because that amount, although not equivalent to the present value of estimated future cash flows, results in a reasonable estimate of fair value.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

720-25-50-1 This Subtopic does not require disclosures for makers of promises and indications of intentions to give because Topics [450](#) and [470](#) provide the relevant disclosure requirements.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not

address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

720-25-55-1 See paragraph [958-720-55-1A](#) for a diagram that depicts the process for determining whether a [contribution](#) is conditional in addition to distinguishing contributions from exchange transactions. Paragraphs [958-605-55-4 through 55-6](#) and [958-605-55-13A through 55-14I](#) provide additional guidance and illustrations on what is a [conditional contribution](#).

· > Determining Whether a Contribution Is Conditional

720-25-55-2 See paragraphs [958-605-55-17A through 55-17F](#) and [958-605-55-70A through 55-70T](#) for implementation guidance and illustrations on determining whether a contribution is conditional. That guidance applies to contributions made by a resource provider (for example, a corporate foundation, a corporation, or a [not-for-profit entity](#) [NFP]) as well as contributions received by a recipient.

720 Other Expenses

30 Real and Personal Property Taxes

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

720-30-05-1 This Subtopic addresses the accounting for real and personal property taxes, specifically, when to record the tax liability and the amounts to be charged to income in future periods.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

720-30-15-1 The guidance in this Subtopic applies to all entities.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Legal Liability for Property Taxes

720-30-25-1 Unlike excise, income, and social security taxes, which are directly related to particular business events, real and personal property taxes are based on the assessed valuation of property (tangible and intangible) as of a given date, as determined by the laws of a state or other taxing authority. The legal liability for such taxes is generally considered as accruing at the moment of occurrence of some specific event, rather than over a period of time. Depending on jurisdiction, various dates on which certain property taxes may accrue legally include the following:

- Assessment date
- Beginning of taxing authority's fiscal year
- End of taxing authority's fiscal year
- Date on which tax becomes a lien on the property
- Date tax is levied
- Date or dates tax is payable
- Date tax becomes delinquent
- Tax period appearing on tax bill.

In a given case several of these dates may coincide. The date to be applied in a particular case necessarily requires reference to the law and court decisions of the state concerned.

- 720-30-25-2** The legal liability for property taxes must be considered when title to property is transferred during the taxable year. Adjustments on account of property taxes paid or accrued are frequently incorporated in agreements covering the sale of real estate, which determine the question for the individual case as between the buyer and seller.

> Accounting for Property Taxes

- 720-30-25-3** Accounting questions arise as to the following:
- When the liability for real and personal property taxes should be recorded on the books of a taxpayer keeping his accounts on the accrual basis
 - The amounts to be charged against the income of respective periods.
- 720-30-25-4** The decision is influenced by the particular circumstances of each tax. Such terms as assessment date and levy date vary in meaning in different jurisdictions.
- 720-30-25-5** Determination of the liability for the tax often proceeds by degrees, with several steps being taken at appreciable time intervals. For example, while it is known that the owner of real property is liable, with respect to each tax period, for a tax on property owned on the assessment date, the amount of the tax may not be fixed until much later.
- 720-30-25-6** The inability to determine the exact amount of taxes is in itself no justification for failure to recognize an existing tax liability. All of the circumstances relating to a particular tax shall be considered before a satisfactory conclusion is reached.
- 720-30-25-7** Generally, the most acceptable basis of providing for property taxes is monthly accrual on the taxpayer's books during the fiscal period of the taxing authority for which the taxes are levied. The books will then show, at any closing date, the appropriate accrual or prepayment. The monthly accrual basis is practical and satisfactory so long as it is consistently followed.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

- 720-30-35-1** Since the liability for property taxes must frequently be estimated at the balance-sheet date, it is often necessary to adjust the provision for taxes of a prior year when their amount has been ascertained.

These adjustments should ordinarily be made through the income statement, either in combination with the current year's provision or as a separate item.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

> Balance Sheet

720-30-45-1 An accrued liability for real and personal property taxes, whether estimated or definitely known, shall be included among the current liabilities. Where estimates are subject to a substantial measure of uncertainty, the liability shall be described as estimated.

> Income Statement

720-30-45-2 In condensed income statements appearing in published reports, the amounts of real and personal property taxes, however charged in the accounts, are rarely shown separately. They are frequently combined with other taxes but not with taxes on income.

720-30-45-3 While it is sometimes appropriate to capitalize in property accounts the amount of real estate taxes applicable to property that is being developed for use or sale, these taxes are generally regarded as an expense of doing business. They may be accounted for in any of the following ways:

- a. Charged to operating expenses
- b. Shown as a separate deduction from income
- c. Distributed among the several accounts to which they are deemed to apply, such as factory overhead, rent income, and selling or general expenses.

720 Other Expenses

35 Advertising Costs

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

720-35-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	720-35-05-1	Amended	Accounting Standards Update No. 2016-20	12/21/2016
	720-35-05-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
	720-35-15-2	Amended	Accounting Standards Update No. 2018-09	07/16/2018
	720-35-15-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	720-35-15-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	720-35-15-5	Superseded	Accounting Standards Update No. 2018-09	07/16/2018
	720-35-15-5	Added	Accounting Standards Update No. 2016-20	12/21/2016
	720-35-25-1	Amended	Accounting Standards Update No. 2018-09	07/16/2018
	720-35-25-1A	Amended	Accounting Standards Update No. 2018-09	07/16/2018
	720-35-25-1A	Added	Accounting Standards Update No. 2016-20	12/21/2016
	720-35-25-5	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	720-35-35-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
	720-35-55-1	Amended	Accounting Standards Update No. 2012-04	10/01/2012

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 720-35-05-1
- This Subtopic provides guidance for annual financial statements on the following:
- a. Reporting the costs of advertising

b. The financial statement disclosures that shall be made about advertising.

720-35-05-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

720-35-05-3 The following are some of the reasons that costs incurred in anticipation of the probable future economic benefits of advertising generally are expensed:

- a. Financial statement preparers generally presumed that the benefit period is short.
- b. The periods during which the future economic benefits probably would be received and the amounts of such benefits could not be measured and determined easily and objectively.
- c. The advertising costs for some entities were not material.
- d. Advertising is undertaken to provide or increase future economic benefits.

> Description of Advertising

720-35-05-4 Advertising is the promotion of an industry, an entity, a brand, a product name, or specific products or services so as to create or stimulate a positive entity image or to create or stimulate a desire to buy the entity's products or services. Advertising generally uses a form of media—such as mail, television, radio, telephone, facsimile machine, newspaper, magazine, coupon, or billboard—to communicate with potential customers. Examples of advertising include the following:

- a. Directory and buyer's guide advertising
- b. Business and industrial publications
- c. Reprints of advertisements
- d. Television advertising
- e. Direct-mail advertising
- f. Consumer publications
- g. Radio advertisements
- h. Billboard advertisements
- i. Entity and product catalogues
- j. Cooperative advertising
- k. Booklets for sales promotion
- l. Newspaper advertising
- m. Point-of-sale material
- n. Sponsorship of public events.

> Components of Advertising Activities

720-35-05-5 Advertising activities may have several component costs. Two primary components are the following:

- a. The costs of producing advertisements, such as for idea development, writing advertising copy, artwork, printing, audio and video crews, actors, and other costs
- b. The costs of communicating advertisements that have been produced, such as for magazine space, television airtime, billboard space, and distribution (for example, postage stamps).

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

720-35-15-1 The guidance in this Subtopic applies to all entities, including not-for-profit entities (NFPs).

> Transactions

720-35-15-2 The guidance in this Subtopic applies to all advertising transactions and activities, with specific exceptions noted below.

720-35-15-3 The guidance in this Subtopic does not apply to the following transactions and activities:

- a. Direct-response advertising costs of an insurance entity (for guidance, see Subtopic [944-30](#) on insurance).
- b. Advertising costs in interim periods (for guidance, see paragraph [270-10-45-7](#)).
- c. Costs of advertising conducted for others under contractual arrangements.
- d. Indirect costs that are specifically reimbursable under the terms of a contract.
- e. Fundraising by NFPs (however, this Subtopic does apply to advertising activities of NFPs).
- f. Customer acquisition activities, other than advertising.
- g. The costs of premiums, contest prizes, gifts, and similar promotions, as well as discounts or rebates, including those resulting from the redemption of coupons. (Other costs of coupons and similar items, such as costs of newspaper advertising space, are considered advertising costs.)

720-35-15-4 The guidance in this Subtopic may or may not apply to the following transactions and activities:

- a. Some activities, such as product endorsements and sponsorships of events, which may be performed pursuant to executory contracts. Costs incurred under executory contracts generally are recognized as performance under the contract is received. Executory contracts should be evaluated to determine whether the costs recognized under such contracts are advertising costs. To the extent that those costs are advertising costs, such costs should be accounted for in conformity with the guidance in this Subtopic.

720-35-15-5 Paragraph superseded by Accounting Standards Update No. 2018-09.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

720-35-25-1 The costs of advertising within the scope of this Subtopic shall be expensed either as incurred or the first time the advertising takes place, except for those costs described in paragraph [720-35-25-1A](#). The accounting policy selected from these two alternatives shall be applied consistently to similar kinds of advertising activities. Deferring the costs of advertising until the advertising takes place assumes that the costs have been incurred for advertising that will occur. Such costs shall be expensed immediately if such advertising is not expected to occur. Examples of the first time advertising takes place include the first public showing of a television commercial for its intended purpose and the first appearance of a magazine advertisement for its intended purpose.

720-35-25-1A Expenditures for some advertising costs are made after recognizing revenues related to those costs. For example, some entities assume an obligation to reimburse their customers for some or all of the customers' advertising costs (cooperative advertising). When revenues related to the transactions creating those obligations are recognized before the expenditures are made, those obligations shall be accrued and the advertising costs expensed when the related revenues are recognized.

> Tangible Assets

720-35-25-2 For purposes of applying this Subtopic, costs incurred to produce film or audio and video tape to be used to communicate advertising do not create tangible assets.

720-35-25-3 Sales materials, such as brochures and catalogues, may be accounted for as prepaid supplies until they no longer are owned or expected to be used, in which case their cost would be a cost of advertising and shall be accounted for in conformity with the guidance in this Subtopic.

> Producing Advertising

720-35-25-4 Costs of producing advertising are incurred during production rather than when the advertising takes place.

> Communicating Advertising

720-35-25-5 Costs of communicating advertising are not incurred until the item or service has been received and shall not be reported as expenses before the item or service has been received. For example:

- The costs of television airtime shall not be reported as advertising expense before the airtime is used. Once it is used, the costs shall be expensed.
- The costs of magazine, directory, or other print media advertising space shall not be reported as advertising expense before the space is used. Once it is used, the costs shall be expensed.

> Executory Contracts

- 720-35-25-6** As indicated in paragraph [720-35-15-4](#), some activities, such as product endorsements and sponsorships of events, may be performed pursuant to executory contracts. Costs incurred under executory contracts generally are recognized as performance under the contract is received. Executory contracts should be evaluated to determine whether the costs recognized under such contracts are advertising costs. To the extent that those costs are advertising costs, such costs shall be accounted for in conformity with the guidance in this Subtopic.

35 Subsequent Measurement

- i General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

- 720-35-35-1** Depreciation or amortization of a tangible asset may be a cost of advertising if the tangible asset is used for advertising.

50 Disclosure

- i General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

 [Related Proposed ASUs](#)

- 720-35-50-1** The notes to financial statements shall disclose both of the following:
- The accounting policy selected from the two alternatives in paragraph [720-35-25-1](#) for reporting advertising, indicating whether such costs are expensed as incurred or the first time the advertising takes place
 - The total amount charged to advertising expense for each income statement presented.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Disclosure Illustration

720-35-55-1 This Example illustrates the guidance provided in paragraph [720-35-50-1](#).

Note X. Advertising

The Entity expenses the production costs of advertising the first time the advertising takes place. For the year ended December 31, 20XX, advertising expense was \$10,000,000.

720 Other Expenses

40 Electronic Equipment Waste Obligations

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 720-40-05-1** This Subtopic provides guidance on accounting for historical electronic equipment waste held by private households for obligations associated with Directive 2002/96/EC on Waste Electrical and Electronic Equipment adopted by the European Union.
- 720-40-05-2** This Subtopic refers to and paraphrases various provisions of the Directive. Nothing in this Subtopic shall be considered a definitive interpretation of any provision of the Directive for any purpose.
- 720-40-05-3** The Directive distinguishes between new and historical waste. New waste relates to products put on the market after August 13, 2005. All products put on the market on or before August 13, 2005, are deemed to be historical waste equipment for the purposes of the Directive. This Subtopic does not address the accounting for new waste. As explained in paragraph [410-20-55-23](#), costs relating to waste of new equipment are to be borne solely by the producers of the new equipment.
- 720-40-05-4** For the financing of historical waste, the Directive also distinguishes between historical waste from private households and historical waste from users other than private households (commercial users). This Subtopic provides guidance for historical waste from private households, while Subtopic [410-20](#) provides guidance for historical waste from commercial users.

15 Scope and Scope Exceptions

i General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

- 720-40-15-1** The guidance in this Subtopic applies to all entities affected by Directive 2002/96 on Waste Electrical and Electronic Equipment adopted by the European Union.

> Transactions

- 720-40-15-2** The guidance in this Subtopic does not apply to the following transactions and activities:
- Historical waste from commercial users as addressed in Subtopic [410-20](#)
 - New waste as defined in the Directive.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

- 720-40-25-1** The financing of historical waste held by private households is to be borne collectively by producers that are selling in the market during each measurement period (to be defined by each EU-member country). The obligation is triggered by participation in the market during the measurement period and, therefore, shall not be recognized before the beginning of that period. The volume of equipment that qualifies as historical waste that those producers have sold in the market before the measurement period is not considered.
- 720-40-25-2** Producers will be required to contribute proportionately based on their participation in the market (for example, in proportion to their respective share of the market by type of equipment). However, the exact method to be used to compute the respective proportions to be contributed by producers will be determined by each EU-member country.
- 720-40-25-3** If, for example, the method is based on each producer's respective share of the market by type of equipment during the measurement period, a liability for the obligation, with an offsetting amount to expense, shall be recognized over the measurement period for the appropriate portion of the cost based on the estimated total allocable costs of the waste management program and that producer's estimated market share.

30 Initial Measurement

General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

- 720-40-30-1** See Section [720-40-25](#) for a discussion of measurement issues.

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

720-40-35-1 The liability shall be adjusted as actual market share and program cost information is received.

55 Implementation Guidance and Illustrations

i General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Illustrations

· > Example 1: Private Households

720-40-55-1 This Example illustrates the guidance in Sections [720-40-25](#) and [720-40-35](#).

720-40-55-2 An entity is a producer of electronic equipment that is covered by the Directive. The entity has produced and sold this type of electronic equipment for several years. In the EU-member country in which the entity operates, legislation requires producers to be responsible for costs associated with the disposal of electronic equipment from private households based on each producer's participation in the market, measured by market share, during the measurement period. The EU-member country has defined the measurement period as calendar-year 2005. The entity achieves a 4 percent market share in 2004 and expects to achieve a 5 percent market share in 2005.

720-40-55-3 The entity should not recognize a liability in 2004 for the costs associated with the disposal of historical waste held by private households. The obligation is triggered by participation in the market during 2005 (the measurement period). A liability for the obligation, with an offsetting amount to expense, should be recognized over the year for the appropriate portion of the annual cost based on

its estimated percent market share. The liability should be adjusted as actual market share information is received. The entity should recognize a liability relating to historical waste costs incurred during 2006 as the entity participates in the market in 2006.

720 Other Expenses

45 Business and Technology Reengineering

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

720-45-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	720-45-55-1	Amended	Accounting Standards Update 2025-06	09/18/2025

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 720-45-05-1

This Subtopic provides guidance on costs associated with business process reengineering and information technology transformation projects. The following describes such projects.
- 720-45-05-2

To take advantage of new advances in electronic commerce and in computer technologies, many entities are entering into consulting contracts that combine business process reengineering and information technology transformation. Consulting services may encompass software development,

software acquisition, software implementation, training, and ongoing support. Business process reengineering may be a component of some of those activities.

- 720-45-05-3** Information technology transformation projects that involve software packages (sometimes called enterprise software) recently have been undertaken by entities that must reengineer their business processes to connect into that software rather than modify that software to connect into their existing business processes. The transformation project may include the installation of new computer hardware, the purchase of office equipment, furniture, or work stations, and the physical reconfiguration of the work area.

15 Scope and Scope Exceptions

- General Note:** The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Entities

- 720-45-15-1** The guidance in this Subtopic applies to all entities.

> Other Considerations

- 720-45-15-2** This Subtopic does not address or change current accounting practices for internal-use software development costs, which are addressed in Subtopic [350-40](#), or the acquisition of property and equipment.

25 Recognition

- General Note:** The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

- 720-45-25-1** The cost of business process reengineering activities, whether done internally or by third parties, is to be expensed as incurred. This expense treatment also applies when the business process reengineering activities are part of a project to acquire, develop, or implement internal-use software.
- 720-45-25-2** The following third-party or internally generated costs typically associated with business process reengineering shall be expensed as incurred:
- a. Preparation of request for proposal—the process of preparing a proposal.
 - b. Current state assessment—the process of documenting the entity's current business process, except as it relates to current software structure. This activity is sometimes called mapping, developing an as-is baseline, flow charting, and determining current business process structure.
 - c. Process reengineering—the effort to reengineer the entity's business process to increase efficiency and effectiveness. This activity is sometimes called analysis, determining best-in-class, profit and performance improvement development, and developing should-be processes.
 - d. Restructuring the work force—the effort to determine what employee makeup is necessary to operate the reengineered business processes.
- 720-45-25-3** Internal and third-party personnel involved with current state assessment, process reengineering, and restructuring the work force usually have backgrounds in business function, business control, internal audit, internal control, and so forth. Although some may have information technology and software application expertise, the focus of this effort is on process rather than software systems.
- 720-45-25-4** Costs typically associated with the acquisition or the construction of property and equipment phase of a business process reengineering project shall be accounted for in accordance with the entity's existing policies for productive assets.

30 Initial Measurement

i General Note: The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

General

- 720-45-30-1** When a third party is used for a business process reengineering project, the total consulting contract price (or the sum of the linked contracts with the same vendor) shall be allocated to each activity based on the relative fair values of those separate activities. The allocation shall be based on the objective evidence of the fair value of the elements in the contract, not necessarily the separate prices stated within the contract for each element.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

> Business Process Reengineering and Information Technology Transformation Project

- 720-45-55-1** The following table sets forth the accounting for typical components of a business process reengineering/information technology transformation project based on whether the item should be:
- a. Expensed as incurred in accordance with the guidance contained in this Subtopic
 - b. Expensed as incurred in accordance with internal-use software guidance contained in Subtopic 350-40
 - c. Capitalized in accordance with internal-use software guidance contained in Subtopic 350-40
 - d. Capitalized as part of the cost of acquiring a fixed asset in accordance with a company's existing policy.

(Note that letters in the grid refer to the corresponding guidance listed above.)

Steps	Third Party		Internal	
	Expense	Capitalize	Expense	Capitalize
Business process reengineering and information technology transformation:				
Preparation of request for proposal	a		a	
Current state assessment	a		a	
Process reengineering	a		a	
Restructuring work force	a		a	
Preliminary software project stage activities:				
Conceptual formulation of alternatives	b		b	
Evaluation of alternatives	b		b	
Determination of existence of needed technology	b		b	
Final selection of alternatives	b		b	
Application development stage activities:				
Design of chosen path, including software configuration and software interface		c		c
Coding		c		c
Installation to hardware		c		c
Testing, including parallel processing phase		c		c
Data conversion costs:				
a. Costs to develop or obtain software that allows for access of old data by new system		c		c
b. All other data conversion processes	b		b	
Training	b		b	
Post-implementation/operation stage activities:				
Training	b		b	
Application maintenance	b		b	
Ongoing support	b		b	
Acquisition of fixed assets:				
Purchase of new computer equipment, office furniture, or work stations		d	N/A	N/A
Reconfiguration of work area—architect fees and hard construction costs		d		d

 PENDING CONTENT



Transition Date:  December 16, 2027;  December 16, 2027 | **Transition Guidance:** [350-40-65-4](#)

The following table sets forth the accounting for typical components of a business process reengineering/information technology transformation project based on whether the item should be:

- a. Expensed as incurred in accordance with the guidance contained in this Subtopic
- b. [Subparagraph superseded by Accounting Standards Update No. 2025-06.](#)
- c. [Subparagraph superseded by Accounting Standards Update No. 2025-06.](#)
- d. Capitalized as part of the cost of acquiring a fixed asset in accordance with a company's existing policy
- e. Capitalized or expensed in accordance with the internal-use software guidance contained in Subtopic [350-40](#).

(Note that letters in the grid refer to the corresponding guidance listed above.)

Steps	Third Party		Internal	
	Expense	Capitalize	Expense	Capitalize
Business process reengineering and information technology transformation:				
Preparation of request for proposal	a		a	
Current state assessment	a		a	
Process reengineering	a		a	
Restructuring work force	a		a	
Acquire, develop, or implement internal-use software				
	e	e	e	e
Acquisition of fixed assets:				
Purchase of new computer equipment, office furniture, or work stations		d	N/A	N/A
Reconfiguration of work area—architect fees and hard construction costs		d		d

720 Other Expenses

50 Fees Paid to the Federal Government by Pharmaceutical Manufacturers and Health Insurers

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

720-50-00-1 The following table identifies the changes made to this Subtopic.

Note: Subtopic title changed by Accounting Standards Update No. 2011-06 on 07/21/11 from *Other Expenses—Fees Paid to the Federal Government by Pharmaceutical Manufacturers* to *Other Expenses—Fees Paid to the Federal Government by Pharmaceutical Manufacturers and Health Insurers*.

Paragraph	Action	Accounting Standards Update	Date
720-50-05-1	Amended	Accounting Standards Update No. 2011-06	07/21/2011
720-50-05-1	Added	Accounting Standards Update No. 2010-27	12/16/2010
720-50-05-2	Amended	Accounting Standards Update No. 2011-06	07/21/2011
720-50-05-2	Added	Accounting Standards Update No. 2010-27	12/16/2010
720-50-05-3	Added	Accounting Standards Update No. 2011-06	07/21/2011
720-50-05-4	Added	Accounting Standards Update No. 2011-06	07/21/2011
720-50-15-1	Amended	Accounting Standards Update No. 2011-06	07/21/2011
720-50-15-1	Added	Accounting Standards Update No. 2010-27	12/16/2010
720-50-25-1	Amended	Accounting Standards Update No. 2011-06	07/21/2011
720-50-25-1	Added	Accounting Standards Update No. 2010-27	12/16/2010
720-50-45-1	Amended	Accounting Standards Update No. 2011-06	07/21/2011
720-50-45-1	Added	Accounting Standards Update No. 2010-27	12/16/2010
720-50-65-1	Added	Accounting Standards Update No. 2010-27	12/16/2010
720-50-65-2	Added	Accounting Standards Update No. 2011-06	07/21/2011

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 720-50-05-1** This Subtopic provides guidance on the annual fees paid by pharmaceutical manufacturers and health insurers to the U.S. Treasury in accordance with the Patient Protection and Affordable Care Act as amended by the Health Care and Education Reconciliation Act (the Acts).
- 720-50-05-2** The Acts impose annual fees on the pharmaceutical manufacturing industry for each calendar year beginning on or after January 1, 2011, and on the health insurance industry for each calendar year beginning on or after January 1, 2014. An entity's portion of the annual fee is payable no later than September 30 of the applicable calendar year and is not tax deductible.
- 720-50-05-3** For the pharmaceutical manufacturing industry, the annual fee will be allocated to individual pharmaceutical manufacturers on the basis of the amount of their branded prescription drug sales for the preceding year as a percentage of the industry's branded prescription drug sales for the same period. A pharmaceutical manufacturing entity's portion of the annual fee becomes payable to the U.S. Treasury once the entity has a gross receipt from branded prescription drug sales to any specified government program or in accordance with coverage under any government program for each calendar year beginning on or after January 1, 2011.
- 720-50-05-4** For the health insurance industry, the annual fee will be allocated to individual health insurers based on the ratio of the amount of an entity's net premiums written during the preceding calendar year to the amount of health insurance for any U.S. health risk that is written during the preceding calendar year. A health insurance entity's portion of the annual fee becomes payable to the U.S. Treasury once the entity provides health insurance for any U.S. health risk for each calendar year beginning on or after January 1, 2014.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

- 720-50-15-1** The guidance in this Subtopic applies to all pharmaceutical manufacturers and health insurers that are subject to the annual fee imposed by the Acts described in paragraphs [720-50-05-1 through 05-4](#). The guidance in this Subtopic is based on the unique facts and circumstances of the fee to be paid by pharmaceutical manufacturers and health insurers in accordance with the Acts; accordingly, an entity should apply judgment when evaluating the facts and circumstances of other fee arrangements before analogizing to the guidance in this Subtopic.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

 [Related Proposed ASUs](#)

720-50-25-1 The liability related to the annual fee described in paragraphs [720-50-05-1 through 05-4](#) shall be estimated and recorded in full upon the first qualifying sale for pharmaceutical manufacturers or once the entity provides qualifying health insurance for health insurers in the applicable calendar year in which the fee is payable with a corresponding deferred cost that is amortized to expense using a straight-line method of allocation unless another method better allocates the fee over the calendar year that it is payable. The annual fee imposed on health insurers does not represent a cost related to the acquisition of policies that is consistent with the definition of an *acquisition cost* in Subtopic [944-30](#).

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

720-50-45-1 The annual fee described in paragraphs [720-50-05-1 through 05-4](#) shall be presented as an operating expense.

65 Transition and Open Effective Date Information

General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

- 720-50-65-1** Paragraph superseded on 07/14/2011 after the end of the transition period stated in Accounting Standards Update No. 2010-27, *Other Expenses (Topic 720): Fees Paid to the Federal Government by Pharmaceutical Manufacturers*.
- 720-50-65-2** Paragraph superseded on 07/02/2014 after the end of the transition period stated in Accounting Standards Update No. 2011-06, *Other Expenses (Topic 720): Fees Paid to the Federal Government by Health Insurers*.